Company Registration No. 06550400 (England and Wales)

ROTHERHAM UNITED FOOTBALL CLUB (RUFC) LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED 30 JUNE 2020



ROTHERHAM UNITED FOOTBALL CLUB (RUFC) LIMITED

COMPANY INFORMATION

Directors	A R Stewart R P Stewart K Thomas
Secretary	K Thomas
Company number	06550400
Registered office	New York Stadium New York Way Rotherham South Yorkshire S60 1AH
Auditors	Buckle Barton Limited Sanderson House Station Road Horsforth Leeds LS18 5NT
Bankers	Barclays Bank Plc 77 Albion street Leeds LS1 5LD

ROTHERHAM UNITED FOOTBALL CLUB (RUFC) LIMITED

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ROTHERHAM UNITED FOOTBALL CLUB (RUFC) LIMITED

STRATEGIC REPORT

FOR THE YEAR ENDED 30 JUNE 2020

The directors present the strategic report for the year ended 30 June 2020.

Review of the business and future developments

The 2019-20 season is Rotherham United's (RUFC) 95th season in their existence and back in League One following relegation last season.

Whilst the demotion brought much sorrow we used the closed season to reflect, build and prepare for 2019/20. Fans' and Sponsors' support was reflected in season ticket sales and commercial activities. Player transfers continued into early July to strengthen the squad for the season ahead.

Successful preseason friendlies were played against Parkgate, FC Magdeburg, Bradford Park, Chesterfield, West Bromwich Albion and Leicester, followed by EFL and FA Cup wins to rounds two and three. Play strengthened leaving us in second place in the League One table on 7th March 2020.

Whilst the Club has performed well on the pitch, it is financially much more difficult. With the deficit on the balance sheet at the end of 2018/19 the directors took the decision to try and reduce this deficit by a proposed Rights Issue. ASD Lighting Holdings Limited took up the issue of 2m shares in March 2020.

When the Coronavirus pandemic brought a halt to the season on 31 March 2020 , staff and players were furloughed leaving a skeleton staff to maintain the grounds /stadium and steer the business through uncertain times. Having played only 35 games with 62 points, promotion back to the Championship was confirmed on 9 June 2020 when the EFL clubs voted to accept a proposal which would curtail the League One season and decide league positions on a points per game basis.

With limited gate receipts and match day revenue the Club want to thank its staff , fans and sponsors for working hard and offering support throughout these devastating times. We came together and created United Rotherham an alternative to ticketing refunds to ensure the club's long-term future and provide a solid platform for us all to collectively deliver inclusive opportunities for the people of Rotherham.

Due to decreased funding from EFL (League One Award), reduced gate receipts and commercial activity, turnover including income from player trading was £9.6m compared to £14m 2019. Government Coronavirus Job Retention Scheme funding was received and is included in other operating income (£405k).

Player and staff costs however were minimised as a result of the demotion.

Variable costs were significantly lower than last year as a result of hosting only seventeen matches at home and travelling to only 18 away. Additional costs were incurred in the year to implement safe, socially distanced training and workspaces.

Administrative overheads of £3.2m increased by £324k (11%) year on year mainly due to legal costs. We continue to pay rent to RU Estates, repair and maintain the pitch and stadium and have invested in new ticketing, retail and access systems.

With match days revenues down by £1.5m and reduced EFL League One funding the loss before tax was £1.2m (compared to profit £2.7m 2019).

Principal risks and uncertainties

Business risk

The nature of the principal activities of the business are such that the company's revenues are somewhat dependent on the 'on-pitch' performance of the football team and getting fans and sponsors back into the stadium.

With no expectations of getting fans back into the stadium in 2020/21 investment in digital advertising and maximum media exposure is essential. The club must continue to engage with fans and build relationships with sponsors and research any commercial opportunities that may create additional revenue for the club.
In order to compete in highly competitive leagues, significant and continued investment is required in the playing squad. Acquisition of new players and renewal of current key player contracts is essential to the long term playing and financial health of the club. As a club we have never really had a significant number of EU players, coaches or staff so it is hard to see Brexit as posing a major threat to the club. As the Government has confirmed it will guarantee the rights of any EU citizens resident in the UK before 31st December 2020 with the deadline for applications to the settled status scheme being 30th June 2021 there is no real risk for current employees.

Compliance with the Football League regulations is a key area for the club. Company performance will continue to be monitored in order to comply with the financial constraints of the regulatory framework.

Credit risk

The company's credit risk is relatively low and is mainly attributable to its trade debtors. Credit risk is managed by running credit checks on new customers and by monitoring payments against contractual arrangements. Through conducting regular reviews the company can minimise the risk of exposure.

Liquidity risk

The company is financed by a mixture of support from the club's sponsors and revenues raised through the normal business activities. Due to Covid -19 the year 2020 was far from normal. The Club reached out to fans and sponsors and created an alternative to ticketing refunds - United Rotherham. This project is one which we hope will not only help to ensure the club's long-term future but also provide a solid platform for us all to collectively deliver inclusive opportunities for the people of Rotherham and will enable some wonderful things to happen for the good of our fellow Millers and local key workers during these unprecedented times. The Club also offered individuals the option to roll over refunds into a 'Millers Wallet' to use on future home fixture ticketing. Managing the company's cash and borrowings efficiently reduced the company's exposure to adverse interest expense.

Key Performance Indicators

The financial performance of the company is monitored against budget prepared by management. The Club works within the guidelines set by EFL Football League, in League One this was within the Salary Cost Management Protocol rules to ensure spend on players is controlled within set boundaries and Clubs are sustainable.

	2020	2019	Change	Change
	£k's	£k's	£k's	%
Income				
First Team	2,186	6,972	-4,786	-68.6%
Academy	533	521	12	2.3%
Total Funding	**2,719**	**7,493**	**-4,774**	**-63.7%**
Match Day Income	780	1,279	-499	-39.0%
Season Tickets	960	1,302	-342	-26.3%
Total Match Receipts	**1,739**	**2,581**	**-841**	**-32.6%**
Sponsorship, Advertising & Hospitality	2,352	3,022	-670	-22.2%
Merchandising & Other Match Day	509	506	3	0.6%
Media	132	287	-154	-53.8%
Other Player Trading	2,180	48	2,133	4466.8%
Total Income	**9,632**	**13,936**	**-4,304**	**-31.0%**
Profitability				
Profit/(Loss) Before Tax	1,244	-2,743	3,987	-145.3%

Total assets less current liabilities have increased to £88k in the period (-£620k 2019) driven by the conversion of £2m debt to equity in a Rights Issue and the loss for the period £1244k.

The main movements in the company's balance sheet are reduced debtors by £3.1m from £4.2m to £1.1m. This includes decreased football debtors by £1.7m (Football debtors £0.5m from £2.2m 2019). Due to Covid lock down and uncertainty of when fans would be allowed back into the stadium the Club did not launch its usual season ticket sales campaign resulting in no Season ticket debtors (Zero for 2020 v £950k 2019). Other trade debtors are £179k (£776k 2019) as we did not invoice sponsors as usual in June for the forthcoming season. Included in prepayments and accrued income is £126k CJRS claim for June 2020.

Cash in bank is £255k (£745k, 2019) depleted by lack of match day revenue and season ticket sales . Retail stock is £97k (£98k 2018)

Other information and explanations

Total creditors have decreased by £4.4m from £7m to £2.6m mainly due to credit amounts from group undertakings having reduced to £376k from £3376k. Trade creditors have decreased from £510k to £496k as we continued to support local services, suppliers and other Clubs. This includes trade football creditors reducing to £348k from £575k 2019. Accrual and deferred income is lower with no prepaid season ticket or commercial revenue for the following season. There is no vat liability at the end of June 2020 and no provision has been made for corporation tax due on losses made in 2020. During the year the Club took advantage of a bridging loan from the EFL for £182.8k.

Non financial performance is benchmarked against other Clubs and used in setting targets for the following seas

	2020	2019	Change	Change
Average League Attendance	8906	9885	-979	-9.9%
Season Tickets Sold	6012	6041	-29	-0.5%

Having played only 17 games at home average League attendance was 10% lower than the previous year. Season tickets (qty) were similar to last year . A big thank you to our 6012 dedicated season ticket holders.

Future Developments

With collectivism and togetherness at the AESSEAL New York Stadium our priority is the health and safety of our players and staff and to get fans and sponsors back into the stadium to enjoy the excitement and challenges that the Championship offers. We will continually educate and implement new ways of working and training in a socially distanced environment. Staff will work from home where possible and players will train in accordance with guidance from EFL and Public Health England. Retail merchandising will continue on line. We will encourage fans to support the Club by purchasing I-Follow to watch live match streaming. We will travel only when essential and when we do we will travel safely. We will continue to focus our efforts on recruitment to add further strength to the squad. The Technical Board will continue to meet regularly to ensure that the challenges of maintaining Championship status are met. We are confident that every player and member of staff will strive and focus on winning games.

First Team staff will work in association with the Academy to develop young players to play in a first team squad.

Our Management team will work with our Stadium Manager and Safety Officer to ensure we can continue to make use of the facilities at our Roundwood training site whilst identifying innovative ways to measure and improve player's fitness and skills.

The Club will continue to work alongside and support our Community Trust which continues to deliver sport, health, education and confidence to the local community both virtually and directly where possible.

ASD Lighting Plc has agreed to sponsor and support the Club for another season. Other Sponsors secured include Embark (kit sponsor), AESEAL (Naming Rights until 2023), B Bennett, Guardian Electrical, KCM Waste, E Twigg, Hughie Construction and so many more.

The club will continue to prepare for when we host events and other football competitions.

Until then, together forever, stay safe.

On behalf of the board

.....

K Thomas

Director

.....1/3/21.....

ROTHERHAM UNITED FOOTBALL CLUB (RUFC) LIMITED

DIRECTORS' REPORT

FOR THE YEAR ENDED 30 JUNE 2020

The directors present their annual report and financial statements for the year ended 30 June 2020.

Principal activities
The principal activity of the company continued to be that of a football league club and is unchanged from the previous years.

Directors
The directors who held office during the year and up to the date of signature of the financial statements were as follows:

A R Stewart
R P Stewart
K Thomas

Results and dividends
The results for the year are set out on page 9.

No ordinary dividends were paid. The directors do not recommend payment of a final dividend.

Qualifying third party indemnity provisions
The company has made qualifying third party indemnity provisions for the benefit of its directors during the year. These provisions remain in force at the reporting date.

Future developments
The future developments of the company are discussed in the Strategic Report.

Auditor
In accordance with the company's articles, a resolution proposing that Buckle Barton Limited be reappointed as auditor of the company will be put at a General Meeting.

Statement of directors' responsibilities
The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period.

In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

DIRECTORS' REPORT (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2020

Statement of disclosure to auditor
In so far as the directors are aware:

- there is no relevant audit information of which the company's auditor is unaware and;
- the directors have taken all steps that they ought to have taken to make themselves aware of any relevant audit information and to establish that the auditors are aware of that information

Inclusion and Anti-Discrimination Statement of Commitment
Rotherham United Football Club (RUFC) Ltd is a diverse organisation that values difference and recognises that people with different backgrounds, skills, attitudes and experiences bring fresh ideas and perceptions. Rotherham United Football Club (RUFC) Ltd take great care to treat each individual as a person in their own right, with equal rights and responsibilities to any other individual, whether they are an adult or a child. We are committed to providing equality of opportunity and anti-discriminatory practice for all players, officials, staff, fans, members of the community, partners and other stakeholders according to their individual needs. Discrimination on the grounds of sex, age, race, religion or belief, marriage or civil partnership, disability, sexual orientation, gender reassignment, pregnancy or maternity, ethnic or national origin or political belief has no place within the Club.

On behalf of the board

.....
K Thomas
Director
.....1/3/21

ROTHERHAM UNITED FOOTBALL CLUB (RUFC) LIMITED

INDEPENDENT AUDITOR'S REPORT

TO THE MEMBERS OF ROTHERHAM UNITED FOOTBALL CLUB (RUFC) LIMITED

Opinion

We have audited the financial statements of Rotherham United Football Club (RUFC) Limited (the 'company') for the year ended 30 June 2020 which comprise the statement of comprehensive income, the balance sheet, the statement of changes in equity and notes to the financial statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including FRS 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 30 June 2020 and of its loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the financial statements* section of our report. We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

We have nothing to report in respect of the following matters in relation to which the ISAs (UK) require us to report to you where:

- the directors' use of the going concern basis of accounting in the preparation of the financial statements is not appropriate; or
- the directors have not disclosed in the financial statements any identified material uncertainties that may cast significant doubt about the company's ability to continue to adopt the going concern basis of accounting for a period of at least twelve months from the date when the financial statements are authorised for issue.

Other information

The directors are responsible for the other information. The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether there is a material misstatement in the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of our audit:

- the information given in the strategic report and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and the directors' report have been prepared in accordance with applicable legal requirements.

INDEPENDENT AUDITOR'S REPORT (CONTINUED)

TO THE MEMBERS OF ROTHERHAM UNITED FOOTBALL CLUB (RUFC) LIMITED

Matters on which we are required to report by exception

In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the strategic report and the directors' report.

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors

As explained more fully in the directors' responsibilities statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at: http://www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members, as a body, for our audit work, for this report, or for the opinions we have formed.



Mark Dalton BA (Hons) FCA (Senior Statutory Auditor)
for and on behalf of Buckle Barton Limited

01:03:2021

Statutory Auditor

Sanderson House
Station Road
Horsforth
Leeds
LS18 5NT

ROTHERHAM UNITED FOOTBALL CLUB (RUFC) LIMITED

STATEMENT OF COMPREHENSIVE INCOME

FOR THE YEAR ENDED 30 JUNE 2020

	Notes	2020 £	2019 £
Turnover	3	9,632,276	13,935,721
Cost of sales		(8,020,622)	(10,038,059)
Gross profit		1,611,654	3,897,662
Administrative expenses		(3,214,113)	(2,879,227)
Other operating income		358,491	1,725,000
Operating (loss)/profit	4	(1,243,968)	2,743,435
Interest receivable and similar income	7	8	-
(Loss)/profit before taxation		(1,243,960)	2,743,435
Tax on (loss)/profit	8	-	-
(Loss)/profit for the financial year		(1,243,960)	2,743,435

The profit and loss account has been prepared on the basis that all operations are continuing operations.

ROTHERHAM UNITED FOOTBALL CLUB (RUFC) LIMITED

BALANCE SHEET

AS AT 30 JUNE 2020

	Notes	2020 £	2020 £	2019 £	2019 £
Fixed assets					
Intangible assets	9		733,614		739,233
Tangible assets	10		383,759		411,322
			1,117,373		1,150,555
Current assets					
Stocks	11	97,214		97,531	
Debtors	12	1,063,535		4,156,546	
Cash at bank and in hand		254,877		752,215	
		1,415,626		5,006,292	
Creditors: amounts falling due within one year	13	(2,444,663)		(6,776,951)	
Net current liabilities			(1,029,037)		(1,770,659)
Total assets less current liabilities			88,336		(620,104)
Creditors: amounts falling due after more than one year	14		(152,400)		(200,000)
Net liabilities			(64,064)		(820,104)
Capital and reserves					
Called up share capital	16		2,850,004		850,004
Profit and loss reserves			(2,914,068)		(1,670,108)
Total equity			(64,064)		(820,104)

The financial statements were approved by the board of directors and authorised for issue on 01:03:2021 and are signed on its behalf by:

K Thomas
Director

Company Registration No. 06550400

ROTHERHAM UNITED FOOTBALL CLUB (RUFC) LIMITED

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 30 JUNE 2020

	Notes	Share capital £	Profit and loss reserves £	Total £
Balance at 1 July 2018		850,004	(4,413,543)	(3,563,539)
Year ended 30 June 2019:				
Profit and total comprehensive income for the year		-	2,743,435	2,743,435
Balance at 30 June 2019		850,004	(1,670,108)	(820,104)
Year ended 30 June 2020:				
Loss and total comprehensive income for the year		-	(1,243,960)	(1,243,960)
Issue of share capital	16	2,000,000	-	2,000,000
Balance at 30 June 2020		2,850,004	(2,914,068)	(64,064)

1 Accounting policies

Company Information

Rotherham United Football Club (RUFC) Limited is a company limited by shares incorporated in the UK and registered in England and Wales. The registered office is New York Stadium, New York Way, Rotherham, South Yorkshire, S60 1AH. New York Stadium, New York Way, Rotherham, S60 1AH

1.1 Accounting convention

These financial statements have been prepared in accordance with FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" ("FRS 102") and the requirements of the Companies Act 2006.

The financial statements are prepared in sterling, which is the functional currency of the company. Monetary amounts in these financial statements are rounded to the nearest £.

The financial statements have been prepared under the historical cost convention

The principal accounting policies adopted are set out below.

This company is a qualifying entity for the purposes of FRS 102, being a member of a group where the parent of that group prepares publicly available consolidated financial statements, including this company, which are intended to give a true and fair view of the assets, liabilities, financial position and profit or loss of the group. The company has therefore taken advantage of exemptions from the following disclosure requirements:

- Section 4 'Statement of Financial Position': Reconciliation of the opening and closing number of shares;
- Section 7 'Statement of Cash Flows': Presentation of a statement of cash flow and related notes and disclosures;
- Section 11 'Basic Financial Instruments' and Section 12 'Other Financial Instrument Issues': Carrying amounts, interest income/expense and net gains/losses for each category of financial instrument; basis of determining fair values; details of collateral, loan defaults or breaches, details of hedges, hedging fair value changes recognised in profit or loss and in other comprehensive income;
- Section 26 'Share based Payment': Share-based payment expense charged to profit or loss, reconciliation of opening and closing number and weighted average exercise price of share options, how the fair value of options granted was measured, measurement and carrying amount of liabilities for cash-settled share-based payments, explanation of modifications to arrangements;
- Section 33 'Related Party Disclosures': Compensation for key management personnel.

The financial statements of the company are consolidated in the financial statements of ASD Lighting Holdings Limited. These consolidated financial statements are available from the parent company's registered office,

1.2 Going concern

The accounts have been prepared on a going concern basis. Although the company's net liabilities at 30 June 2020 were significantly lower than at 30 June 2019 the impact of Covid19 continues to have an adverse impact on income, particularly in respect of match receipts. The directors have prepared cash flow forecasts for the next 3 years which show that the company will have to continue to rely upon the support of sponsors, in particular its fellow subsidiary company ASD Lighting PLC, to enable it to continue to trade as a going concern.

1 **Accounting policies** **(Continued)**

1.3 Turnover

Turnover represents income receivable from football and related commercial activities, exclusive of VAT. Gate receipts and other match day revenue are recognised as the games are played. The club also receives central distributions from the Football League and a solidarity payment from the Premier League that are beyond the direct control of the officers of the club. These distributions are recognised evenly over the course of the financial year.

Revenue derived from season tickets is credited to income in the period to which it relates. Amounts received in advance are credited to deferred income in the balance sheet.

Sponsorship, advertising and similar commercial income is recognised over the duration of the respective contracts. Amounts received in advance are credited to deferred income in the balance sheet.

1.4 Intangible fixed assets - Player registrations

In line with FRS 102, the costs associated with the acquisition of players' registrations are capitalised as intangible fixed assets and amortised over the period of the respective player's contracts. Players' registrations are written down for impairment when the carrying amount exceeds the amount recoverable through use or sale.

1.5 Tangible fixed assets

Tangible fixed assets are initially measured at cost and subsequently measured at cost or valuation, net of depreciation and any impairment losses.

Depreciation is recognised so as to write off the cost or valuation of assets less their residual values over their useful lives on the following bases:

Improvements to leasehold property	Over the period of the lease
Plant and equipment	20% on cost
Equipment, fixtures and fittings	20% on cost

The gain or loss arising on the disposal of an asset is determined as the difference between the sale proceeds and the carrying value of the asset, and is credited or charged to profit or loss.

1.6 Borrowing costs related to fixed assets

Borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use or sale, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use or sale.

All other borrowing costs are recognised in profit or loss in the period in which they are incurred.

1.7 Stocks

Stocks, which comprise goods held for re-sale, are stated at the lower of cost and estimated net realisable value.

1.8 Leases

Rentals under operating leases are charged to the profit and loss account as they fall due.

1 Accounting policies **(Continued)**

1.9 Pension scheme

The pension costs charges in the financial statements represent the contribution payable by the company during the period.

1.10 Signing on fees

Signing on fees represent a normal part of the employment cost of the player and as such are to be charged to the profit and loss account in the accounting period in which payment is made. Potential instalments due in the future based on continued service are disclosed as a contingent liability.

1.11 Grants

There were no deferred grant releases during the year.

2 Judgements and key sources of estimation uncertainty

In the application of the company's accounting policies, the directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised where the revision affects only that period, or in the period of the revision and future periods where the revision affects both current and future periods.

The key estimates and judgements made by the directors when preparing the financial statements relate to:

- The economic life of fixed assets (tangible and intangible)
- Provisions needed for potential bad debts

3 Turnover and other revenue

An analysis of the company's turnover is as follows:

	2020	2019
	£	£
Turnover		
Match income & season tickets	1,739,286	2,580,781
Central distributions	2,693,865	7,441,409
Commercial income	2,352,402	3,022,185
Merchandising income	508,657	505,527
Media receipts	132,345	286,550
Transfer fees & sell on clauses	2,180,361	47,744
Other receipts	25,360	51,525
	9,632,276	13,935,721

3 **Turnover and other revenue** (Continued)

Other significant revenue		
(Loss)/gain on disposal of player registrations	(46,138)	1,725,000
Furlough grant claims receivable	404,629	-

Turnover analysed by geographical market

	2020	2019
	£	£
United Kingdom	9,632,276	13,935,721

4 **Operating (loss)/profit on ordinary activities before taxation**

Operating (loss)/profit for the year is stated after charging/(crediting):	2020 £	2019 £
Fees payable to the company's auditors for the audit of the company's financial statements	16,393	18,098
Depreciation of owned tangible fixed assets	84,198	97,104
(Loss)/profit on disposal of tangible fixed assets	378	(6,990)
Amortisation of intangible assets	379,481	471,496

5 **Auditor's remuneration**

Fees payable to the company's auditor and associates:	2020 £	2019 £
For audit services		
Audit of the financial statements of the company	16,393	18,098

6 **Employees**

The average monthly number of persons (including directors) employed by the company during the year was:

	2020 Number	2019 Number
Sales, matchday, ground staff	68	72
Administration and other	4	4
First team players and coaches	40	47
Youth team players and coaches	47	51
	159	174

6 Employees (Continued)

Their aggregate remuneration comprised:

	2020	2019
	£	£
Wages and salaries	5,119,302	6,919,132
Social security costs	594,056	860,013
Pension costs	53,917	44,693
	5,767,275	7,823,838

7 Interest receivable and similar income

	2020	2019
	£	£
Interest income		
Interest on bank deposits	8	-

8 Taxation

The actual charge for the year can be reconciled to the expected (credit)/charge for the year based on the profit or loss and the standard rate of tax as follows:

	2020	2019
	£	£
(Loss)/profit before taxation	(1,243,960)	2,743,435
Expected tax (credit)/charge based on the standard rate of corporation tax in the UK of 19.00% (2019: 19.00%)	(236,352)	521,253
Tax effect of expenses that are not deductible in determining taxable profit	25,988	323
Tax effect of income not taxable in determining taxable profit	-	(3,310)
Change in unrecognised deferred tax assets	-	(476,562)
Group relief	205,984	25,405
Depreciation on assets not qualifying for tax allowances	4,208	-
Research and development tax credit	-	(70,393)
Other permanent differences	-	3,284
Deferred tax roundings	172	-
Taxation charge for the year	-	-

9 Intangible fixed assets

	Player Registrations
	£
Cost	
At 1 July 2019	1,350,000
Additions	495,000
Disposals	(750,000)
At 30 June 2020	1,095,000
Amortisation and impairment	
At 1 July 2019	610,767
Amortisation charged for the year	379,481
Disposals	(628,862)
At 30 June 2020	361,386
Carrying amount	
At 30 June 2020	733,614
At 30 June 2019	739,233

10 Tangible fixed assets

	Improvements to leasehold property	Plant and equipment	Equipment, fixtures and fittings	Total
	£	£	£	£
Cost				
At 1 July 2019	470,918	317,868	282,106	1,070,892
Additions	-	51,208	5,805	57,013
Disposals	-	(2,833)	-	(2,833)
At 30 June 2020	470,918	366,243	287,911	1,125,072
Depreciation and impairment				
At 1 July 2019	183,165	209,393	267,012	659,570
Depreciation charged in the year	22,147	52,752	9,299	84,198
Eliminated in respect of disposals	-	(2,455)	-	(2,455)
At 30 June 2020	205,312	259,690	276,311	741,313
Carrying amount				
At 30 June 2020	265,606	106,553	11,600	383,759
At 30 June 2019	287,753	108,475	15,094	411,322

11 Stocks

	2020	2019
	£	£
Finished goods and goods for resale	97,214	97,531

12 Debtors

	2020	2019
Amounts falling due within one year:	£	£
Trade debtors	245,136	1,821,128
Other debtors	86,845	8,500
Prepayments and accrued income	731,554	2,326,918
	1,063,535	4,156,546

Included within debtors are football debtors of £536,029 (2019: £2,195,133).

13 Creditors: amounts falling due within one year

	2020	2019
	£	£
Trade creditors	495,936	309,770
Amounts owed to group undertakings	376,278	3,376,278
Corporation tax	988	-
Other taxation and social security	273,125	568,078
Other creditors	30,400	16,179
Accruals and deferred income	1,267,936	2,506,646
	2,444,663	6,776,951

Included within creditors are football creditors of £348,056 (2019: £575,000)

14 Creditors: amounts falling due after more than one year

	2020	2019
	£	£
Trade creditors	-	200,000
Other creditors	152,400	-
	152,400	200,000

15 Provisions for liabilities

	2020	2019
	£	£

16 Share capital

	2020	2019
	£	£
Ordinary share capital		
Issued and fully paid		
2,850,004 Ordinary shares of £1 each	2,850,004	850,004

Ordinary shares carry one vote per share.

During the year ended 30 June 2020 the company made a rights issue of 2.35:1 ordinary shares. As a result of certain shareholders taking up their rights under this offer 2,000,000 ordinary shares of £1 each were issued, fully paid, during the year for consideration of £1 per share.

17 Operating lease

17 Operating lease (Continued)

At the reporting end date the company had outstanding commitments for future minimum lease payments under non-cancellable operating leases, which fall due as follows:

	2020 30 June £	2019 30 June £
Within one year	53,165	27,500
Between two and five years	121,256	114,375
In over five years	211,875	272,500
	386,296	414,375

18 Contigent liabilities

Additional signing on fees totalling £19,200 (2019 £4,250) will become payable if certain conditions contained within players contracts are met. These payments will be accounted for in the year in which they fall due for payment.

Additional net transfer fees of £50,000 (2019 £920,000) will become receivable if certain conditions contained within former players' transfer agreements are met. These amounts will be accounted for in the year which they fall receivable.

The company has provided an unlimited cross guarantee in respect of the banking facilities of ASD Lighting Holdings Limited, ASD Lighting plc and RU Estates Limited. At 30 June 2020 there was a potential liability of £105,850 (2019 £1,081,890).

19 Related party transactions

The directors of the company are remunerated through ASD Management LLP (an LLP of which A R Stewart and R P Stewart are members) and ASD Lighting plc, a fellow subsidiary of ASD Holdings Limited.

During the year the company received sponsorship income of £970,170 (2019 £979,288) from ASD Lighting plc. The company was charged £17,946 (2019 £17,946) for the provision of administrative services by ASD Lighting plc. At 30 June 2020 included within creditors falling due within one year is £376,278 (2019 £3,376,28) owed to ASD Lighting plc.

During the year the company was charged £1,000,000 (2019 £1,000,000) by RU Estates Limited, a company of which A R Stewart and R P Stewart are directors, for the rent of assets.

During the year the company made sales of £25,839 (2019 £28,938) to Rotherham United Community Sports Trust, a company of which K Thomas is a director.

20 Ultimate controlling party

A R Stewart is the ultimate controlling party by virtue of his majority shareholding in ASD Lighting Holdings Limited, the parent company of Rotherham United Football Club (RUFC) Limited.

ASD Lighting Holdings Limited is registered in England and Wales, accounts are available from Companies House, Crown Way, Cardiff CF14 3UZ.